

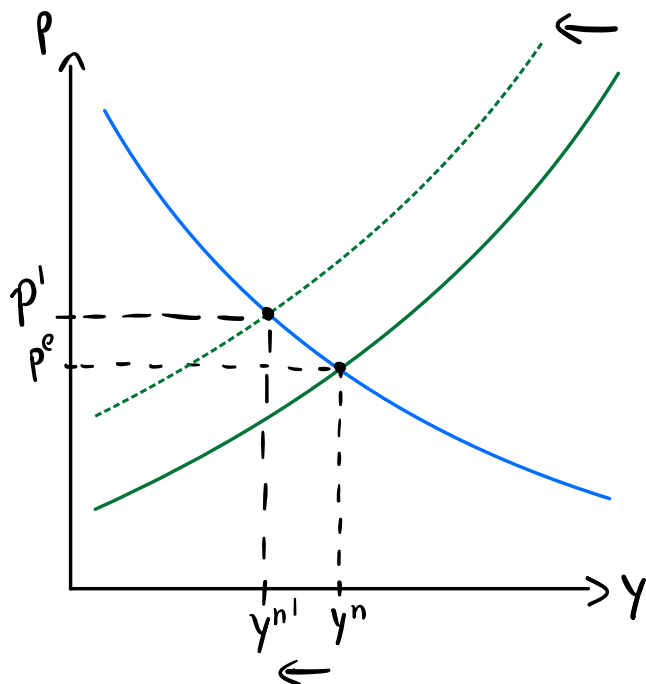
Problem Set 7

②

$$(AD) \quad y - \bar{y} = g - \bar{g} - \sigma \left(\overbrace{i - (\bar{p} - p)}^r - e \right)$$

$$(AS) \quad p - p^e = K(y - y_n)$$

a)

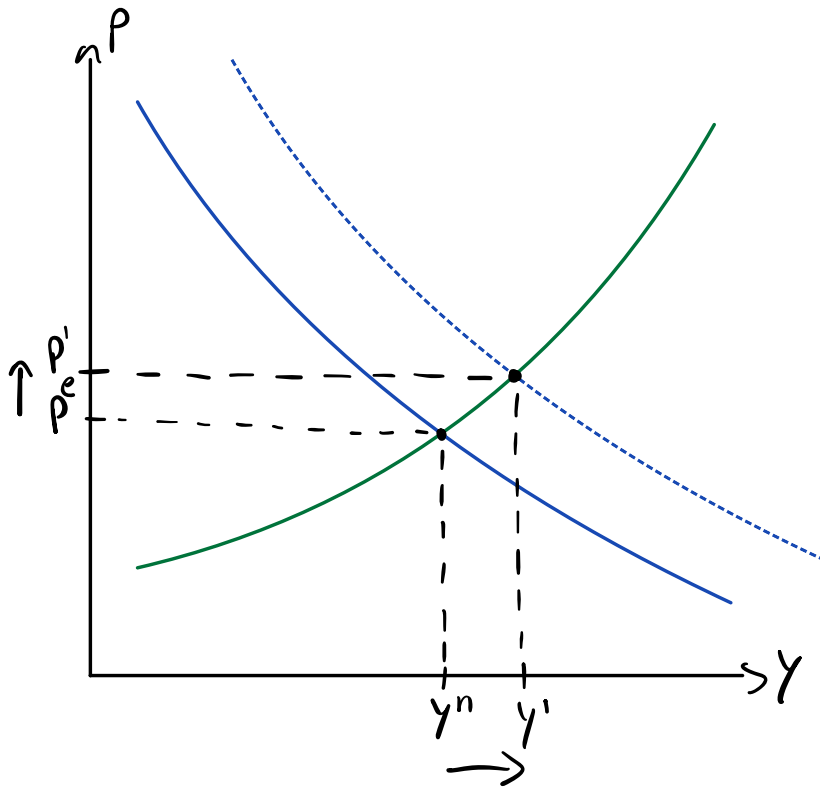


- Change in y_n that shifts AS

↳ No diff. in $y \rightarrow y_n'$ because
adj is optimal $\rightarrow$ No overshoot

due to Price friction

b)



- Drop in nominal rate affects real rate due to Price rigidity

↳ Households replace consumption tomorrow with more today

④ $Y_n \rightarrow$ Output under flexible
Prices $\rightarrow$ That is why $\bar{Y} = Y_n$

$Y^e \rightarrow$ Efficient allocation, removing
frictions/distortions, such as
market power

①	Keynesian	New classical	NK
Prices market structure Aggregate Demand Monetary Policy and instrument	Prices/wages fixed or sluggish in short-run Not modelled IS-LM: Ad-hoc consumption, investment, etc. CB controls $M^s \rightarrow$ nominal rate endogenous given M^d/p	Fully flexible Perfect competition Price-taking agents Forward-looking households No real effects; can be indeterminate; classical dichotomy	rigid in short-run, but flexible in long-run competition + market Power, i.e.: monopolistic competition Forward-looking households CB sets nominal rate if given Policy rule/mandate Taylor Principle + rule